

HUGE INVESTMENTS

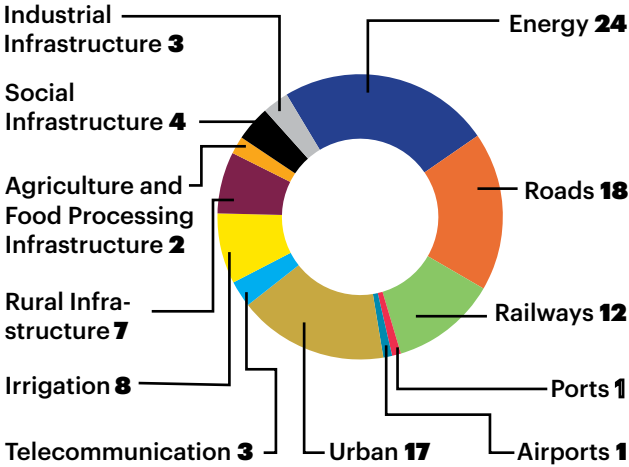
- Infrastructure spend to double in the next seven years
- More financing sources will be needed

SECTOR	FY17-FY23 E (₹LAKH CRORE)	FY24-30 P (₹LAKH CRORE)
Road	18.3	37.3
Railways	12.4	25.6
Urban infrastructure	8.6	18.9
Other infrastructure	11.1	15
Energy	15.5	39.1
Surface transport	0.8	7
Total	66.7	142.9

E: ESTIMATED; P: PROJECTED
SOURCE CRISIL INFRASTRUCTURE YEARBOOK 2023

THE NATIONAL INFRA PLAN

- According to estimates, India needs to spend about \$1.4 trillion in the coming years on infrastructure
- Total project capex in infrastructure sectors during FY20 to FY25 is projected at over ₹102 lakh crore



% OF TOTAL EXPENDITURE
SOURCE NATIONAL INFRASTRUCTURE PIPELINE

the focus will be on the high-speed movement of goods. The National Highways Authority of India is looking to increase the total length of high-speed corridors to 50,000 km by 2047 from about 3,913 km in 2023. Meanwhile, total port capacity is expected to increase from the existing 2,600 million tonnes per annum (MTPA) to over 10,000 MTPA by 2047. The government also plans to increase the number of airports in the country to about 220 from the current 149 in the next five to seven years.

Manish Sharma, Infrastructure and Logistics Leader at PwC India, notes that since 2014, the government has made infrastructure a priority and the speed of construction and implementation has been improving every year. “A clear focus of the government has been infrastructure creation ahead of

demand such as Dholera and Shendra-Bidkin in DMIC,” he notes, adding that the delays remain in legacy projects where either the business case has been weak or in some cases environmental issues have held up progress. Going forward, we need to focus on three areas—reliability, convenience and comfort, he says.

According to CRISIL’s Infrastructure Yearbook 2023, India will spend nearly ₹143 lakh crore on infrastructure in seven fiscals through 2030, more than twice the near ₹67 lakh crore spent in the previous seven. While a chunk of it would come from the central and state governments, the private sector will also have to chip in.

Chonkar of BDO notes that more financing is required. “Considering the infrastructure needs of a fast-paced and developing country like India and the vision for

a \$5-trillion economy, there exists a sizeable infrastructure financing gap. Other than the traditional financing routes and public-private partnership models, tapping global financiers and long funds such as sovereign wealth funds, pensions, and insurance funds is the key to bridging the gap,” he says.

Besides, funds will also be required for the energy transition as the country looks to reduce its carbon footprint in line with its global commitments. “Prominent sectors such as roads and power are expected to remain major contributors, while relatively nascent ones such as EVs, solar, wind, and hydrogen will pick up pace,” CRISIL had said.

There is much still left to do. And the next government will have to work out a clear road map. **BT**

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